

AI Act Penalties Enforcement

Penalty structure, national competent authorities and the European AI Office: Articles 99 to 101 and the governance framework of Regulation (EU) 2024/1689, Version of 29 September 2026.

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1. Overview of the enforcement system

The AI Act is enforced through a mix of national and Union bodies. Chapter XII (Articles 99 to 101) sets the penalties. Chapter VII (Articles 64 to 70) sets up the governance bodies, and Chapter IX (Articles 72 to 94) contains post-market monitoring, market surveillance and enforcement powers.

Question	Answer	Reference
Who fines operators (providers, deployers, importers, distributors)?	National market surveillance authorities of the Member States, under national penalty rules.	Arts. 70, 74, 99
Who fines providers of general-purpose AI models?	The European Commission, through the AI Office.	Arts. 88 to 94, 101
Who fines EU institutions, bodies and agencies?	The European Data Protection Supervisor.	Art. 100
What is the maximum fine?	EUR 35 million or 7% of worldwide annual turnover, whichever is higher, for prohibited practices.	Art. 99(3)
Since when can fines be imposed?	Since 2 August 2025 for national fines (Articles 99 and 100). From 2 August 2026 for the Commission's fines on general-purpose AI model providers (Article 101).	Art. 113

2. The penalty structure (Article 99)

Article 99(1) requires each Member State to lay down rules on **penalties and other enforcement measures**, which may include warnings and non-monetary measures. They must be effective, proportionate and dissuasive, and take into account the interests of SMEs, including start-ups, and their economic viability. Member States had to notify these rules to the Commission by the date Chapter XII applied, 2 August 2025 (Article 99(2)). Because penalties are set nationally, the level and style of enforcement can differ between Member States, within the ceilings below.

2.1 The three fine tiers

Tier	Infringement	Maximum administrative fine	Article
1. Highest	Non-compliance with the prohibition of AI practices in Article 5.	Up to EUR 35 000 000 or, for an undertaking, up to 7% of total worldwide annual turnover for the preceding financial year, whichever is higher .	Art. 99(3)
2. Intermediate	Non-compliance with obligations of operators and notified bodies. The listed provisions are: providers (Art. 16), authorised representatives (Art. 22), importers (Art. 23), distributors (Art. 24), deployers (Art. 26), requirements and obligations of notified bodies (Arts. 31, 33(1), 33(3), 33(4), 34) and transparency obligations of providers and deployers (Art. 50) .	Up to EUR 15 000 000 or, for an undertaking, up to 3% of total worldwide annual turnover, whichever is higher .	Art. 99(4)
3. Lowest	Supply of incorrect, incomplete or misleading information to notified bodies or national competent authorities in reply to a request.	Up to EUR 7 500 000 or, for an undertaking, up to 1% of total worldwide annual turnover, whichever is higher .	Art. 99(5)

Because the tier 2 list includes Article 16, a provider that fails to ensure that its high-risk system complies with the requirements in Articles 8 to 15 (risk management, data governance, technical documentation, record keeping, transparency, human oversight, accuracy and cybersecurity) falls in the intermediate tier. A deployer that ignores Article 26 duties (instructions for use, human oversight, monitoring, logs) does too. The AI literacy duty in Article 4 is not among the provisions listed in Article 99(3) and (4), so its enforcement depends on how Member States set their national rules.

2.2 Higher of the two amounts, except for SMEs

For most companies the ceiling is the **higher** of the fixed amount and the percentage of turnover. For **SMEs, including start-ups**, each fine is capped at the **lower** of the two amounts (Article 99(6)).

Example	Turnover	Infringement	Calculation	Ceiling
Large group	EUR 2 billion	Prohibited practice (Art. 5)	7% of EUR 2 billion = EUR 140 million, higher than EUR 35 million	EUR 140 million
Mid-sized company, not an SME	EUR 100 million	Prohibited practice (Art. 5)	7% = EUR 7 million, lower than EUR 35 million, so the higher amount applies	EUR 35 million
Large group	EUR 2 billion	Chatbot without AI notice (Art. 50(1))	3% = EUR 60 million, higher than EUR 15 million	EUR 60 million
SME	EUR 10 million	Prohibited practice (Art. 5)	7% = EUR 700 000, lower than EUR 35 million, so the lower amount applies	EUR 700 000
SME	EUR 10 million	Deployer duties (Art. 26)	3% = EUR 300 000, lower than EUR 15 million	EUR 300 000

2.3 Factors the authority must consider (Article 99(7))

When deciding whether to impose a fine and how much, authorities must give due regard to all relevant circumstances of the specific situation, including:

- the **nature, gravity and duration** of the infringement and its consequences, taking into account the purpose of the AI system and, where appropriate, the number of affected persons and the level of damage suffered;

- whether administrative fines have already been applied by other authorities to the same operator for the same infringement;
- whether fines have already been applied by other authorities for infringements of other Union or national law arising from the same activity;
- the **size, annual turnover and market share** of the operator committing the infringement;
- any other aggravating or mitigating factor, such as financial benefits gained or losses avoided;
- the **degree of cooperation** with the national competent authorities to remedy the infringement and mitigate its effects;
- the **degree of responsibility** of the operator, taking into account technical and organisational measures implemented;
- the manner in which the authority became aware of the infringement, in particular whether and to what extent the operator notified it;
- the **intentional or negligent character** of the infringement;
- any action taken by the operator to **mitigate the harm** suffered by the affected persons.

Practical consequence: documented compliance work, quick cooperation and early self-reporting reduce exposure. This is one reason NormaAI recommends keeping the documentation described in AI_Act_High_Risk_Obligations even before the high-risk deadlines.

2.4 Other rules in Article 99

- **Public authorities:** each Member State decides whether and to what extent administrative fines may be imposed on public authorities and bodies established in that State (Article 99(8)).
- **Safeguards:** the exercise of the powers to impose fines is subject to appropriate procedural safeguards under Union and national law, including effective judicial remedy and due process (Article 99(9)).
- **Reporting:** Member States report annually to the Commission on the fines they have issued, and on related litigation or judicial proceedings.
- **Fines are not the only tool.** Market surveillance authorities can also require corrective action, restriction, withdrawal or recall of a system from the market (Article 79 and following), and national rules may add warnings and other non-monetary measures.

3. Fines on EU institutions (Article 100)

The European Data Protection Supervisor can impose administrative fines on Union institutions, bodies, offices and agencies that fall within the scope of the Act. The ceilings are much lower than for companies: up to **EUR 1 500 000** for non-compliance with the prohibition of practices in Article 5, and up to **EUR 750 000** for non-compliance with any other requirement or obligation of the Act. The EDPS considers the same factors as national authorities and gives the institution the opportunity to be heard before deciding.

4. Fines on providers of general-purpose AI models (Article 101)

The **European Commission** may impose fines on providers of **general-purpose AI models** not exceeding **3% of annual total worldwide turnover in the preceding financial year or EUR 15 000 000, whichever is higher**. The Commission can fine when the provider intentionally or negligently:

- infringes the relevant provisions of the Act, for example Articles 53 and 55 on documentation, copyright policy, training-content summary and systemic-risk duties;

- fails to comply with a request for a document or information under **Article 91**, or supplies incorrect, incomplete or misleading information;
- fails to comply with a measure requested under **Article 93**;
- fails to give the Commission access to the model for evaluation under **Article 92**.

Before adopting a fine, the Commission gives the provider the opportunity to be heard. Fines are set with regard to the nature, gravity and duration of the infringement, proportionality and appropriateness. The Court of Justice of the European Union has **unlimited jurisdiction** to review the Commission's fines, and may cancel, reduce or increase them. The power to fine general-purpose AI model providers applies from **2 August 2026** (Article 113 excludes Article 101 from the earlier application date of 2 August 2025).

5. National competent authorities (Article 70)

Each Member State must establish or designate, as national competent authorities, **at least one notifying authority and at least one market surveillance authority** (Article 70(1)). One of them acts as the **single point of contact** for the Act (Article 70(2)). Member States must ensure the authorities have adequate technical, financial and human resources, with staff possessing in-depth expertise in AI technologies, data and data computing, personal data protection, cybersecurity, fundamental rights, health and safety risks, and knowledge of existing standards and legal requirements (Article 70(3)). Authorities must act independently, impartially and without bias, and are bound by confidentiality (Article 70(5) and Article 78).

Authority	Role	Article
Notifying authority	Sets up and carries out the procedures for the assessment, designation and notification of conformity assessment bodies (notified bodies), and monitors them.	Art. 28
Market surveillance authority	Monitors the market, investigates non-compliance, requires corrective actions, withdraws or recalls non-compliant systems, and imposes penalties under national rules. Regulation (EU) 2019/1020 applies to AI systems.	Arts. 74, 79 to 83
Financial supervisors	For high-risk systems provided or used by regulated financial institutions, the authority responsible for financial supervision is the market surveillance authority, to ensure coherence with financial services law.	Art. 74(6)
Data protection authorities	For certain high-risk systems used for law enforcement, migration, asylum, border control, the administration of justice and democratic processes, the market surveillance authority is the authority responsible for data protection supervision (or another designated authority).	Art. 74(8) and (9)
Authorities protecting fundamental rights	National public authorities or bodies that supervise or enforce Union law protecting fundamental rights, including equality bodies, can request and access documentation created under the Act.	Art. 77

Member States have chosen different models. Some designate a single new authority. Others split competence between existing regulators, for example data protection, consumer protection, telecommunications and sector supervisors. Consultants should check the current designation and contact details for each client's Member State on the Commission's list of national authorities and in the national law, since designations were still being completed in many countries.

5.1 What authorities can do

- Request documentation, technical documentation and logs, and test systems (Articles 74 to 77, 79).
- Where a system presents a risk to health, safety or fundamental rights, require the operator to take corrective action, withdraw, disable or recall the system within a prescribed period (Article 79).

- Review classification: where an authority considers that a system the provider classified as non-high-risk under Article 6(3) is in fact high-risk, it evaluates the system and can require compliance and fine the provider for misclassification (Article 80).
- Address formal non-compliance such as missing CE marking, missing declaration of conformity or missing registration (Article 83).
- Coordinate across Member States through mutual assistance and joint action (Articles 74 to 75 and 79 to 82); the Commission can step in where a national measure is contested.

5.2 Complaints and whistleblowers

Any natural or legal person having grounds to consider that there has been an infringement of the Act may **lodge a complaint with the relevant market surveillance authority** (Article 85). Persons who report infringements are protected under the Whistleblower Directive, Directive (EU) 2019/1937 (Article 87). Individuals affected by a decision based on an Annex III high-risk system have a **right to explanation** from the deployer (Article 86).

6. The European AI Office and Union-level governance

6.1 The AI Office (Article 64)

The **European AI Office** is part of the European Commission. It develops Union expertise and capability in AI and contributes to the implementation of Union law on AI. It is the central enforcer for **general-purpose AI models** and coordinates cross-border enforcement. Its main tasks are:

- **Supervising providers of general-purpose AI models** (Chapter V), monitoring compliance with Articles 53 and 55, and acting on alerts about systemic risks (Articles 88 to 90).
- **Requesting documentation and information** from providers (Article 91), **conducting evaluations** of models, including access to the model through APIs or source code (Article 92), and **requesting measures** such as mitigation, restriction, withdrawal or recall (Article 93).
- Supervising AI systems based on a general-purpose AI model where the model and the system are developed by the same provider (Article 75).
- Encouraging and facilitating **codes of practice**: for general-purpose AI models (Article 56) and for labelling of AI-generated content (Article 50(7)).
- Providing guidance, supporting the European AI Board and Member States, and running the EU database for high-risk systems (Article 71).

The AI Office's powers over general-purpose AI model providers became operational on **2 August 2026**. Obligations for such providers have applied since 2 August 2025, so there was a one-year period between the start of the obligations and the start of Commission enforcement. Models placed on the market before 2 August 2025 must comply by 2 August 2027 (Article 111(3)).

6.2 The other Union bodies

Body	Composition and role	Article
European Artificial Intelligence Board	One representative per Member State, with the AI Office and the EDPS as observers. Advises and assists the Commission and Member States to ensure consistent and effective application of the Act, coordinates national authorities, and shares technical and regulatory expertise.	Arts. 65, 66
Advisory forum	Balanced selection of stakeholders from industry, start-ups, SMEs, civil society and academia, with standing members such as ENISA and the European standardisation bodies. Provides technical expertise and advice to the Board and the Commission.	Art. 67
Scientific panel of independent experts	Experts selected by the Commission for their up-to-date expertise. Supports enforcement for general-purpose AI models, and can issue qualified alerts on systemic risks.	Art. 68
Notified bodies	Independent conformity assessment bodies designated by Member States for the conformity assessment of certain high-risk systems.	Arts. 29 to 39

7. Enforcement timeline

Date	Enforcement milestone
August 2025	Prohibited practices (Article 5) become enforceable: the penalty provisions (Articles 99 and 100) apply, the governance framework (Chapter VII, national competent authorities and the European AI Office) and the general-purpose AI obligations (Chapter V) apply, and Member States notify their penalty rules. Article 113 provides that the prohibitions themselves apply from 2 February 2025.
August 2026	High-risk obligations and general application of the Act, including Article 50 transparency. The Commission's enforcement powers over general-purpose AI models and fines under Article 101 apply from this date.
August 2027	Full enforcement: obligations for high-risk AI embedded in Annex I products apply. General-purpose AI models placed on the market before August 2025 must comply (Article 111(3)).

Many client questions mix up the date of an obligation and the date fines become possible. For Article 5, fines become possible from August 2025. For high-risk systems, the fines linked to the obligations follow the application dates of those obligations. Verify the exact dates on EUR-Lex before advising a client.

8. Frequently asked questions

What is the maximum fine under the AI Act?

EUR 35 million or 7% of total worldwide annual turnover, whichever is higher, for using a prohibited AI practice under Article 5 (Article 99(3)). For most other operator obligations, including transparency under Article 50 and provider and deployer duties, the ceiling is EUR 15 million or 3% (Article 99(4)). For supplying incorrect information to authorities it is EUR 7.5 million or 1% (Article 99(5)).

Do small companies pay the same fines?

The ceilings are lower for SMEs and start-ups: the lower of the fixed amount and the percentage applies (Article 99(6)). Authorities must also consider the size and economic viability of the operator (Article 99(1) and (7)).

Who would investigate our company?

Usually the market surveillance authority of the Member State where the system is placed on the market or used. If the client provides a general-purpose AI model, the Commission's AI Office is competent. Union institutions are supervised by the EDPS.

Can we be fined before the high-risk obligations apply?

Fines linked to the high-risk obligations follow the application dates of those obligations. Fines for prohibited practices (Article 5) and for Article 50 transparency duties do not depend on them, and providers of general-purpose AI models can be fined by the Commission under Article 101.

Are there penalties other than fines?

Yes. Authorities can order corrective measures, restrict the making available of a system, or require its withdrawal or recall (Article 79). Member States may also provide for warnings and other non-monetary measures (Article 99(1)). Reputational and contractual consequences can be significant in practice.

Can a company be fined under both the AI Act and the GDPR?

Yes, in principle. The AI Act applies in addition to the GDPR (Article 2(7)). Article 99(7) requires authorities to consider whether other authorities have already fined the same operator for the same infringement or for the same activity.

Where do individuals complain?

To the relevant market surveillance authority (Article 85). Whistleblowers are protected under Directive (EU) 2019/1937 (Article 87).

9. Sources

- Regulation (EU) 2024/1689, Articles 28, 50, 56, 64 to 71, 74 to 80, 83, 85 to 94, 99 to 101, 111, 113, EUR-Lex, CELEX 32024R1689.
- European Commission, AI Office and governance pages, digital-strategy.ec.europa.eu.